

Govt $\rightarrow$ government

$\propto$ $\Rightarrow$ directly proportional symbol

Wellnote

Notebook

Capital markets

stocks, bonds, foreign, exchange commodities & derivative securities based on this item.

Ppl in capital markets

(i) Savers → Pension funds, endowments & individual
(Those who want a return on their savings)

(ii) Users → need capital to fund their businesses

(iii) Agents → Find users who need funds
Connect user with savers.

(iv) Trading venues → Investor protection
→ Access to investments
→ Stock & future exchange

★ Stocks & bond → Securities

Tangible Assets → Real Estate → Real Assets

★ Capital markets → Key drivers

- (i) Capital → interesting opportunities for investment
- (ii) Theory → more tool for better profit
- (iii) Regulation → Fair for everyone
- (iv) Technology

• Cash → Common denominator

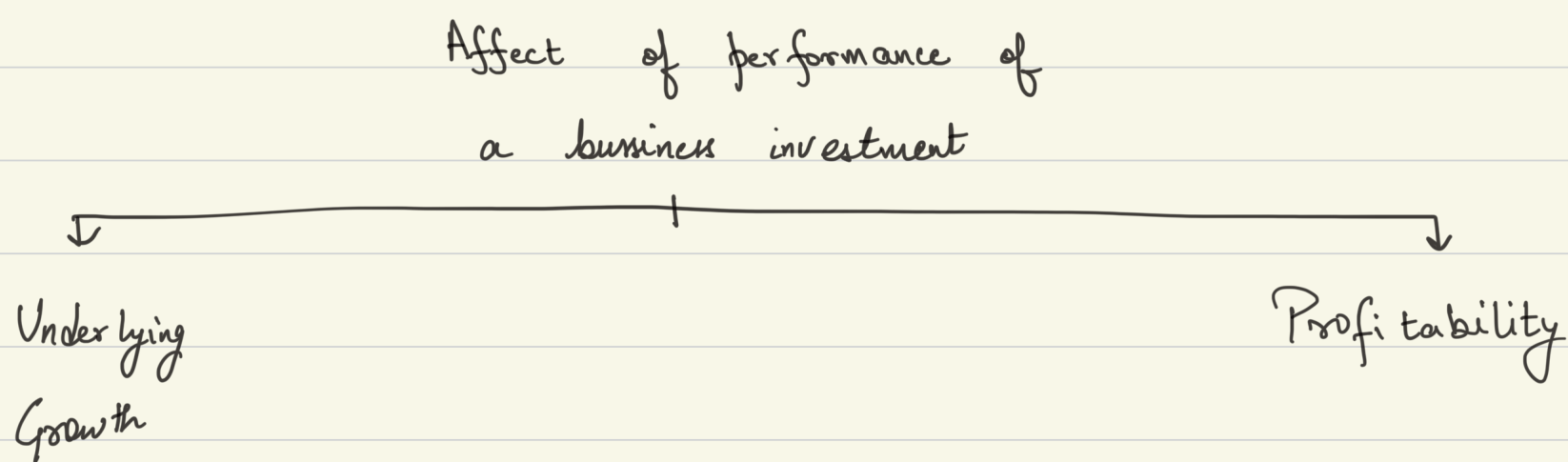
- profit over an investment
- Basis of measurement of all values

- Risk $\rightarrow$ Most IMP
 - $\rightarrow$ uncertainty of return
 - $\rightarrow$ generally higher risk means higher returns.

$\rightarrow$ Every return has a risk free rate of return

$\rightarrow$ Risk is the exposure of the uncertainty of return.

Risk $\propto$ Price of an Investment



* Investment $\Rightarrow$ from investor those who have Saving
 made by employment, $\uparrow$
 Profit & return on Investments
 Strength of Economy $\leftarrow$

* Economic measures to measure Economy

(i) GDP $\Rightarrow$ value of all goods & services in final form purchased
 by consumers.
 $\Rightarrow$ Can be measured by looking at income OR
 spending

Components of GDP

- Consumer "C"
- Investment by Business "I"
- Govt. Expenditure "G"
- Export 'X' - Import 'M'

$$GDP = C + I + G + (X - M)$$

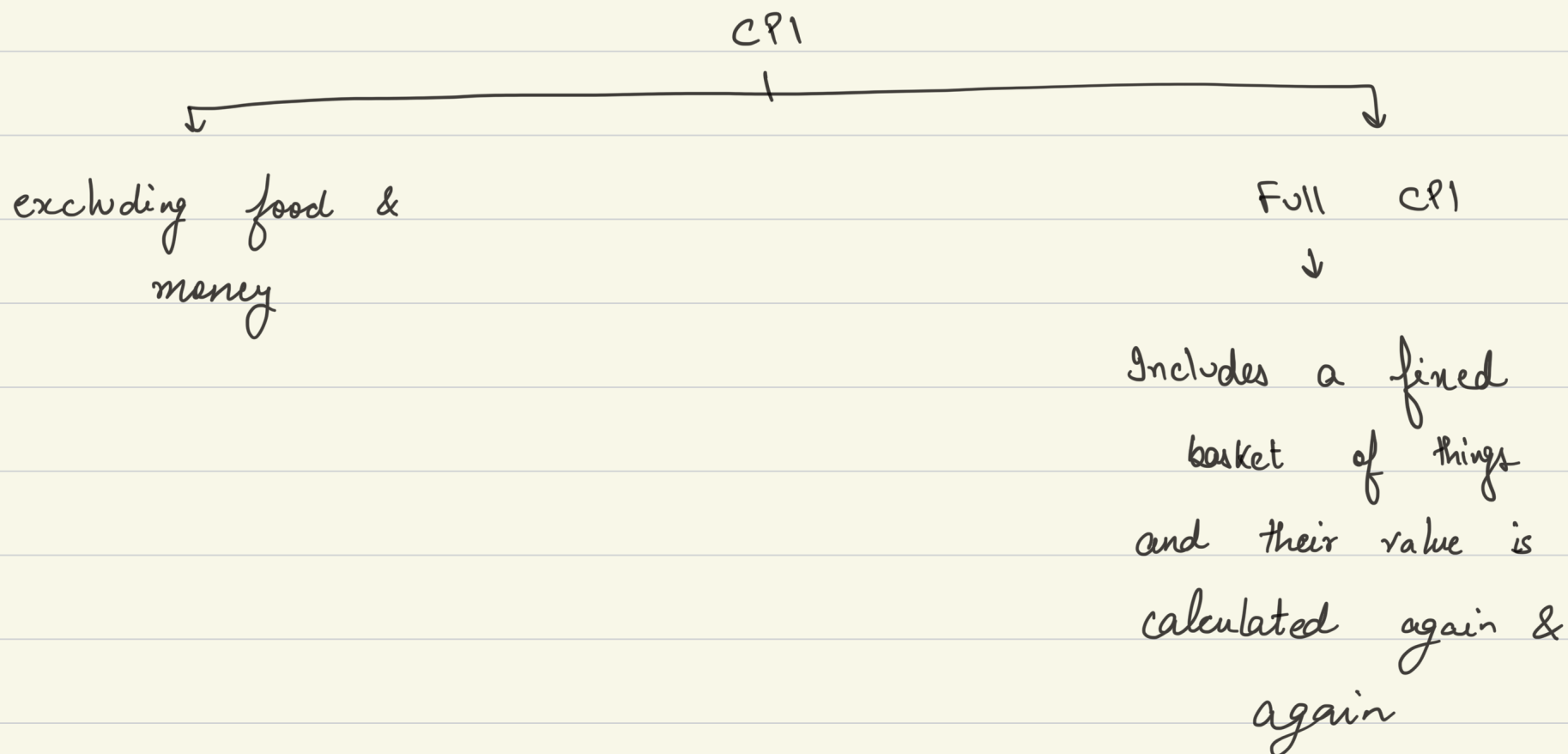
* Inflation is enemy of investment return

* CPI → Consumer Price Index

Banks want low inflation

↳ It encourages investment & thereby doesnot distort capital allocations or consumer behaviour

Inflation ↑ ⇒ Savings ↓



Role of Central Bank

- GDP $\propto$ Level of Employment
 $\propto$ level of Inflation
- Related to each other

JUST RIGHT ECONOMY



Potential Output $\Rightarrow$ Calculated Theoretically

$$\text{Output Gap} = \text{Potential Output} - \text{Actual GDP}$$

- How can economy be stimulated
- Deficit Financing $\rightarrow$
- a) Govt [Borrow money & push it in the market]
 - b) Central Bank

Fed $\rightarrow$ Largest Central Bank in the world

$\rightarrow$ Central Bank of the U.S.A.

- * Fed $\rightarrow$ maximize Employment
 $\rightarrow$ Stable Prices
- Uses monetary Policy



M2 measures

- Currency
- Bank deposits
- other pool of cash

Interest rate

* Low IR $\Rightarrow$ Consumer & Business to have more saving
 $\downarrow$
more money for investment

* High IR $\Rightarrow$ Save the bank money $\Rightarrow$ Tight money

* Repo $\Rightarrow$ Money using govt. bond as collateral.

Module - 3

* Investment - To return or get an return on their Savings.

* Invested fund $\Rightarrow$ Capital

$\hookrightarrow$ Govt. is the best place to buy bonds becuz they can print more money or increase taxes to pay off their debt.

$\hookrightarrow$ 10 yrs $\Rightarrow$ Long - Term expectations.
 $\hookrightarrow$ Inflation can reduce investment value.

